

Practical Significance of Book Value. The book value of a common stock was originally the most important element in its financial exhibit. It was supposed to show “the value” of the shares in the same way as a merchant’s balance sheet shows him the value of his business. This idea has almost completely disappeared from the financial horizon. The value of a company’s assets as carried in its balance sheet has lost practically all its significance. This change arose from the fact, first, that the value of the fixed assets, as stated, frequently bore no relationship to the actual cost and, secondly, that in an even larger proportion of cases these values bore no relationship to the figure at which they would be sold or the figure which would be justified by the earnings. The practice of inflating the book value of the fixed property is giving way to the opposite artifice of cutting it down to nothing in order to avoid depreciation charges, but both have the same consequence of depriving the book-value figures of any real significance. It is a bit strange, like a quaint survival from the past, that the leading statistical services still maintain the old procedure of calculating the book value per share of common stock from many, perhaps most, balance sheets that they publish.

Before we discard completely this time-honored conception of book value, let us ask if it may ever have practical significance for the analyst. In the ordinary case, probably not. But what of the extraordinary or extreme case? Let us consider the four exhibits shown on the following page, as representative of extreme relationships between book value and market price.

No thoughtful observer could fail to be impressed by the disparities revealed in the examples given. In the case of General Electric and Commercial Solvents the figures proclaim more than the bare fact that the market was valuing the shares at many times their book value. The stock ticker seems here to register an aggregate valuation for these enterprises that is totally unrelated to their standing as ordinary business enterprises. In other words, these are in no sense *business valuations*; they are products of Wall Street’s legerdemain, or possibly of its clairvoyance.

Financial Reasoning vs. Business Reasoning. We have here the point that brings home more strikingly perhaps than any other the widened rift between financial thought and ordinary business thought. It is an almost unbelievable fact that Wall Street never asks, “How much is the business selling for?” Yet this should be the first question in considering a stock purchase. If a business man were offered a 5% interest in some concern for \$10,000, his first mental process would be to multiply the